NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-II), CHANDIGARH

CP (CAA) No. 36/CHD/CHD/2023
(2nd Motion)

(Application under Sections 230 to 232, and 66 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations Rules), 2016, and National Company Law Tribunal Rules, 2016)

IN THE MATTER OF THE SCHEME OF AMALGAMATION:

MALWA RENEWABLE ENERGY PRIVATE LIMITED
having its registered office at
House No. 99, Sector - 3, New Shimla,
Shimla, Himachal Pradesh – 171009
CIN: U40101HP2007PTC030781
PAN: AABCH9387F

.... Petitioner Company No. 1/ Transferor Company

AND

ALCOGRAIN DISTILLERS PRIVATE LIMITED
having its registered office at
SCO 140-141, Sector-34A,
Chandigarh, India, 160022
CIN: U24100CH2019PTC042732
PAN: AASCA8292K

.... Petitioner Company No. 2/ Transferee Company

Order delivered on: 23.05.2025

Coram: MR. KHETRABASI BISWAL, MEMBER (JUDICIAL)
MR. KAUSHALENDRA KUMAR SINGH, MEMBER (TECHNICAL)

Present:

For the Petitioner Companies : Mr. Rahul Jogi, Advocate, Ms. Shagun Taneja, and Ms. Deepali Garg PCS

For the Income Tax Department	:	Mr. Yogesh Putney, Advocate, Senior Standing Counsel
For the Official Liquidator	:	Mr. Edward Augustine George, Advocate
For the RD/ROC	:	Mr. Vineet Khatri, Company Prosecutor

ORDER

1. This is a Joint Second Motion Petition filed by **Malwa Renewable Energy Private Limited** (hereinafter referred to as 'Petitioner Company No. 1/ Transferor Company'), and **Alcograin Distillers Private Limited** (hereinafter referred to as 'Petitioner Company No. 2/ Transferee Company') (hereinafter collectively referred to as 'Petitioner Companies') under Sections 230 – 232 and 66 of the Companies Act, 2013 (hereinafter referred to as "**Act**") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as "**Rules**") and National Company Law Tribunal Rules, 2016, for seeking sanction of the Scheme of Amalgamation (hereinafter referred to as "**Scheme**") between the Petitioner Companies and their respective shareholders and creditors on a going-concern basis and the dissolution of the Petitioner Company No. 1 without following the process of winding-up. A copy of the Scheme has been annexed as Annexure 1 to the Petition.

2. The Petitioner Companies jointly filed their first motion application bearing CA(CAA)No.33/Chd/Chd/2023, and this Tribunal, vide Order dated 30.08.2023, allowed the prayer for dispensation of the meetings of equity shareholders, preference shareholders, debenture holders, secured, and unsecured creditors of the Petitioner Companies in view of their consent in writing received by way of affidavits.

3. The main objectives, authorized and paid-up share capital, and the Rationale of the Scheme had been discussed in detail in the first motion Order dated 30.08.2023.

4. In the second motion proceedings, the Tribunal vide Order dated 21.05.2024, directed the Petitioner Companies to publish a notice of hearing in two newspapers, namely, “Financial express” in English Language and “Jansatta” in Hindi language in Chandigarh Edition (for Petitioner Company No. 2) and “Financial express” in English Language and “Danik Bhaskar” in Hindi language in Himachal Edition (for Petitioner Company No. 1) calling for objections. This Tribunal also directed the Petitioner Companies to issue a notice of hearing of the Petition to the respective statutory and regulatory authorities. The Petitioner Companies filed an Affidavit vide Diary No. 02893/3 dated 12.06.2024, confirming Compliance with the above Order.

4.1 It is stated by Petitioner Companies that the Financial Express newspaper does not have any Himachal edition, and the Chandigarh edition of The Financial Express is circulated in the State of Himachal Pradesh. Therefore, Petitioner Companies have jointly advertised the notice of hearing of Company Petition in the Chandigarh Editions of 'Financial Express' (English) and 'Jansatta' (Hindi) and Himachal edition of Dainik Bhaskar (Hindi) on 05.06.2024 seeking representation(s) or objection(s) from public on the Scheme. The Original newspaper publications have been annexed as Annexure 2 to the Affidavit.

4.2 It is further stated that the notice of Company Petition as required under section sub section 5 of Section 230 of the Act were jointly served

upon the office of the (i) Regional Director, Northern Region, Ministry of Corporate Affairs, B-2 Wing, Second Floor, Deen Dayal Antyodaya Bhawan, CGO Complex, New Delhi-110003 (ii) The Official Liquidator, attached to Hon'ble High Court of Himachal Pradesh, Corporate Bhawan, Plot No- 4 B, 2nd floor, Sector 27B, Madhya Marg, Chandigarh160019 (iii) Registrar of Companies, Himachal Pradesh and Chandigarh, Corporate Bhawan, Plot No- 4 B, 1 st Floor, Sector 27B, Madhya Marg, Chandigarh- 160019 (iv) The Income Tax Department, HP and Chandigarh through Nodal Officer-Principal Commissioner of Income Tax, NWR, Aaykar Bhawan, Sector-17E, Chandigarh-160017 and (v) West Bengal Electricity Regulatory Commission.

4.3 Furthermore, an Affidavit was filed vide Diary No. 02893/4 dated 28.06.2024, by the Petitioner Companies conforming to non-receipt of any objection to the Scheme pursuant to the newspaper publications as directed by this Tribunal vide Order dated 21.05.2024.

5. In response to the abovementioned notices, the regulatory authorities have furnished their replies:

5.1 Registrar of Companies, Chandigarh & Himachal Pradesh/ Regional Director, Northern Region

The Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (hereinafter referred to as "**RD**") has filed its report along with the report of the Registrar of Companies (hereinafter referred to as "**ROC**"), vide diary No. 02893/5 dated 01.07.2024. The RD in para 4 of its report dated 27.06.2024 has mentioned that the ROC report has been received vide letter dated 13.06.2024 and 14.06.2024. During the proceeding on

27.09.2024, Mr. Vineet Khatri, Company Prosecutor for the RD/ROC, stated that there are no observations/objections on behalf of the RD/ROC against the Scheme.

5.2 Official Liquidator (Attached to Himachal Pradesh High Court)

The Notice of the Company Petition was issued to the Official Liquidator (Attached to Himachal Pradesh High Court) as per the Order dated 21.05.2024. The Official Liquidator vide diary No. 02893/6 dated 05.07.2024, has reproduced the information on the incorporation of the Petitioner Companies, their capital structure, financial highlights, shareholding, etc. The Official Liquidator has also reproduced the extracts of Clauses incorporated in the Scheme, as well as its share consideration. It is further stated in Para 9 of the OL's report that they do not have any specific observation/objection to the Scheme.

5.3 The Income Tax Department

The Income Tax Department (hereinafter referred to as 'ITD') has filed its report with respect to Petitioner Companies vide Diary No. 02893/7 dated 04.10.2024 The ITD, in its reports dated 26.06.2024 and 24.07.2024, has stated that neither an outstanding demand is pending for recovery nor the case was ever selected for scrutiny u/s 143(3) of the Income Tax Act as per the departmental database. Therefore, the ITD has no objection to the Scheme. Furthermore, during the course of the hearing on 16.10.2023, this Tribunal directed the Petitioner Companies to file a short Affidavit stating whether they are tax compliant or not. In compliance with the above direction, Petitioner Company No. 2 filed an affidavit vide Diary No.

02893/2 dated 18.10.2023 stating that Petitioner Company No. 2 is tax-compliant and is regular in depositing tax dues from time to time.

5.4 West Bengal Electricity Regulatory Commission

5.4.1 The Petitioner Companies filed an Affidavit vide Diary No. 02893/3 dated 12.06.2024, stating that the notice to the West Bengal Electricity Regulatory Commission (hereinafter referred to as "WBERC") was duly served, but no response was filed by WBERC. Thus, this Tribunal vide Order dated 27.09.2024, gave the last opportunity to the WBRC to file their report. The Petitioner Company No. 2 filed an Affidavit Vide Diary No. 02893/8 dated 05.11.2024, stating that the notice intimating about the last opportunity to submit the report and the next date of hearing was duly served upon the WBRC by e-mail- cpwbercgov.in on 06.10.2024 and by speed post at Plot No. AH/5 (2nd & 4th Floor), Premises No. MAR 16-1111, Action Area-lA Newtown, Rajarhat, Kolkata, West Bengal-700163 on 08.10.2024, which was delivered on 21.10.2024. A certified copy of the e-mail and original speed post receipt, along with tracking details, have been annexed as Annexure 3 to the Affidavit.

5.4.2 However, no representation has been made by WBRC, and as stated under sub-section (5) of Section 230 of the Act, if no representation is received within thirty days from the date of receipt of the notice, it shall be presumed that they have no representation to make on the proposed Scheme. Therefore, it is presumed that the WBRC has no representation to make on the Scheme.

5.5 Excise Commissioner, West Bengal

5.5.1 It is stated that the Petitioner Company No. 2 has a manufacturing facility at Panagarh Industrial Park, Paschim Bardhaman, West Bengal, for manufacturing rectified spirit, extra neutral alcohol, ethanol, and industrial alcohol, etc. Therefore, the Excise Commissioner, Excise Directorate, Kolkata, West Bengal, has issued an excise license to the Petitioner Company No. 2.

5.5.2 The Petitioner Companies vide Diary No. 02893/3 dated 12.06.2024, filed an affidavit stating that the notice to the Excise Commissioner, West Bengal, was duly served, but no response has been filed by them. Thus, this Tribunal vide Order dated 27.09.2024, gave the last opportunity to the Excise Commissioner, West Bengal, to file their report. The Petitioner Company No. 2 filed an Affidavit vide Diary No. 02893/8 dated 05.11.2024, stating that the notice intimating about the last opportunity to submit the report and the next date of hearing was duly served upon the Excise Commissioner, Excise Directorate by email - ec.wb-excise@nic.in on 06.10.2024 and by speed post at 1st Floor, 32, B.B. Ganguly Street, Kolkata, West Bengal 700012 on 08.10.2024 which was delivered on 14.10.2024. A certified copy of the e-mail and original speed post receipt, along with tracking details, has been annexed as Annexure 4 to the Affidavit.

5.5.3 However, no representation has been made by the Excise Commissioner, West Bengal and as stated under sub-section (5) of Section 230 of the Act, if no representation is received within thirty days from the date of receipt of the notice, it shall be presumed that they have no

representation to make on the proposed Scheme. Therefore, it is presumed that the Excise Commissioner, West Bengal, has no representation to make on the Scheme.

5.6 Food Safety and Standards Authority

5.6.1 The Tribunal vide Order dated 27.09.2024, directed the Petitioner Companies to file an affidavit stating whether they have a license from the Food Safety and Standards Authority (hereinafter referred to as "FSSAI").

5.6.2 The Petitioner Company No. 2 filed an Affidavit vide Diary No. 02893/8 dated 05.11.2024 stating that the FSSAI grants a license to only those concerns which are dealing in the food business. Rectified spirit and ethanol are not food items and cannot be consumed directly by human beings. Since the Petitioner Company No. 2 is engaged in the business of production of rectified spirit and industrial alcohol (ENA) which is not fit for human consumption, the Petitioner Company No. 2 is outside the purview of Food Safety and Standards Act, 2006 and thus, Petitioner Company No. 2 is not required to obtain any license from the FSSAI.

5.6.3 The Petitioner Company No. 1 filed an affidavit vide Diary No. 02893/9 dated 05.11.2024 stating that the Petitioner Company No. 1 is not engaged in any distillery business since its incorporation, nor has it applied for any license from any government department in India (central as well as state) for setting up any distillery plant. Therefore, the Petitioner Company No. 1 is not governed by the Food Safety and Standards Authority of India.

6. Upon coming into effect of this Scheme, the Board of Directors of the Transferor Company and the Transferee Company in their respective

meetings held on 29.05.2023, after considering the valuation report of Mr. Subodh Kumar, IBBI Registered Valuer (Reg. No. IBBI/RV/05/2019/11705) dated 22.05.2023, have decided that the Transferee Company shall issue its shares to the shareholders of the Transferor Company, who are shareholders of the Transferor Company as on the Record Date in the following manner:

> *"The Equity Shareholders of the Transferor Company, would be issued and allotted 1 (One) Equity Shares of Rs. 10/- (Rupees Ten only) each credited as fully paid up by the Transferee Company for every 1 (One) equity share of Rs. 100/- (Rupees One Hundred only) each held by them in the Transferor Company on a fully diluted basis."*

In respect of any fractional shares, if any, to be issued to the shareholders of the Transferor Company, the same shall be rounded off to the nearest whole integer.

7. The Preference shareholders of the Transferor Company as on the Record Date, will be issued and allotted 1 (One) preference share of Rs. 10/- each credited as fully paid up by the Transferee Company, for every 1 (One) 6% Non-Cumulative Redeemable Preference Shares of Rs. 10/- (Rupees Ten only) each held by them in the Transferor Company. The Transferee Company shall issue preference shares to the preference shareholders of the Transferor Company on the same terms and conditions as issued by the Transferor Company.

8. In compliance with the proviso to clause (e) of sub-section (7) of Section 230 of the Companies Act, 2013, certificate from the statutory auditors of the Transferor Company and Transferee Company both dated 02.06.2024, are placed on record confirming that the accounting treatment

as proposed under the Scheme is in conformity with the applicable Accounting Standards prescribed under section 133 of the Companies Act, 2013 and the same have been annexed as Annexure 9 and Annexure 10 respectively, of the Petition.

9. We have heard the learned Counsel for Petitioner Companies and have gone through the material available on record. On the basis of the facts and submissions made by the learned Counsel and on perusal of the Scheme, it appears that requirements of the provisions of section 230 and 232 are satisfied by the Petitioner Company. We are of the considered view that the proposed Scheme is bona fide and in the interest of the Shareholders and creditors and accordingly approved.

10. Given the foregoing facts and discussion and upon considering the approval accorded by the members and creditors of the Petitioner Companies to the Scheme and observations of the Regional Director, Official Liquidator, and Income Tax Department being suitably addressed and no objection remaining of any other interested party, there does not appear to be any impediment in granting sanction to the proposed Scheme. As a result, the Company Petition is allowed, and the sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies. It is declared that the said sanctioned Scheme shall be binding on the Petitioner Companies and their shareholders, creditors, and all concerned under the Scheme.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way

of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

12. While approving the Scheme as above, we further clarify that this Order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including Income Tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

13. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme, and if it is found that the Scheme ultimately results in tax avoidance or is not in accordance with the applicable provisions of the Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action in accordance with the law. Any sanction of the Scheme under section 230-232 of the Companies Act, 2013 shall not adversely affect the rights of the Income Tax Department or any past, present or future proceedings and the sanction of the Scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

14. **Accordingly, this Tribunal orders as under**:

(i) The Scheme of Amalgamation contemplated between the Petitioner Companies, annexed as “Annexure 1” with the Petition, is hereby sanctioned without the process of winding up, and it is declared that the same shall be binding on the Petitioner Companies and their shareholders and creditors and all concerned under the Scheme.

(ii) All the property, right and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Company but subject nevertheless to all charges now affecting the same;

(iii) All the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company, and accordingly, the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(iv) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to include under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(v) All proceedings, if any, pending by or against the Transferor Company shall be continued by or against the Transferee Company.

(vi) All contracts of the Transferor Company which are subsisting or having effect immediately before the Effective Date, shall stand

transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(vii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(viii) The Appointed Date for the Scheme shall be 01.04.2023 as specified in the Scheme;

(ix) Upon this Scheme becoming effective and in consideration for Amalgamation of the Transferor Company with the Transferee Company, in terms of this Scheme, the Transferee Company shall issue and allot equity shares to the shareholders of the Transferor Company whose names appear in the register of members of Transferor Company as on the Record Date. The Transferee Company shall, without further application, allot to the existing

members of the Transferor Company shares of the Transferee Company to which they are entitled under the said Scheme;

(x) The Transferee Company shall file the revised memorandum and articles of association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company, after setting off the fees paid by the Transferor Company.

(xi) The Petitioner Companies will furnish a self-certified copy of the approved Scheme and Schedule of Assets of the Transferred Undertaking to the Designated Registrar of this Tribunal. The Designated Registrar will issue a certified copy of this order together with the authenticated copy of the approved Scheme and Schedule of Assets as its enclosures. All the Authorities are directed to act on the certified copy of this order as issued by the Designated Registrar.

(xii) The Transferee Company is directed to file the certified copy of this Order along with the copy of Scheme and Schedule of Assets with the concerned Registrar of Companies, electronically along with e-form INC-28 in addition to a physical copy in e-form INC-28 within 30 days or an extended timeline with payment of additional fees, as may be applicable, from the date of receipt of the Order. Following that, necessary steps shall be taken up by the Registrar of Companies.

(xiii) The Transferee Company is directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets of the

Transferee Company, duly authenticated by the Designated Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(xiv) The legal fees and expenses of the office of the Regional Director are quantified at Rs 20,000/- with respect to the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee company.

(xv) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs 20,000/- with respect to the Transferor Companies. The said fees to the Official Liquidator shall be paid by the Transferee Company, and

(xvi) Any person interested shall be at liberty to apply to this Tribunal in the above matter for directions that may be necessary.

15. All the concerned Regulatory Authorities are to act on a copy of this order annexed with the Scheme, duly authenticated by the Designated Registrar of this Bench.

16. The Company Petition CP (CAA) NO. 36/Chd/Chd/2023 is allowed and disposed of accordingly.

Sd/-

Kaushalendra Kumar Singh
Member (Technical)

Gitesh

Sd/-

Khetrabasi Biswal
Member (Judicial)